

Low-cost TAKEOFF

Small is the new big and no-frills the new business mantra for airlines as they ride the recovery wave

By Nandini Vaish

The Pizza Hut outlet at the Delhi International Airport is an unusual but telling indicator of the health of the aviation sector in India. Delhi accounts for 21 per cent of the country's total air traffic and a 30 per cent rise in the number of pizzas sold in December 2009 reflects a revival in the spending power of passengers. As it turns out, the rise in pizza sales also reflects the revival of airlines. Spurred by the rising number of business travellers, the holiday season and a recovering economy, between January and December 2009—the worst months of the decade—air traffic grew remarkably. Despite the recession, 43.8 million passengers travelled by air in 2009, 2.5 million more than the previous year. In December alone, airlines carried 4.49 million passengers. Given the high turnaround, Pizza Hut installed a high-speed oven that bakes pizzas in about half the time it took earlier.

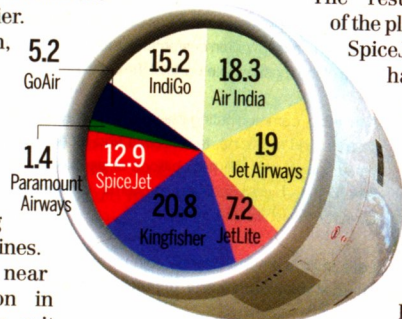
Airlines, though, are not rushing to expand yet.

After being mired in the red for long, airlines are finally showing healthier bottomlines. Rising from a near hopeless situation in April, they have witnessed better load factor. In fact, after 12 months

of year-on-year declines, airlines saw traffic going up in 2009. At an analyst conference call during its July-September quarter results, K.G. Vishwanath, vice-president, commercial, strategy, and investor relations, Jet Airways, said that its traffic in business class went up to nearly 900-1,000 passengers a day, up from 800 in April-June. Sanjay Aggarwal, CEO, SpiceJet, says that they saw signs of demand but viewed it with caution as the yields were still low. "The sector does not get impacted by fuel prices, but by people's ability to pay", says Raajeev B. Batra, head of KPMG's transport advisory service, "which means it is a direct factor of the economy." For instance, when crude touched \$140 a barrel in June 2008, there was no drop in travel. Now with the economy showing signs of revival and business confidence getting a boost on the back of increased consumption and spending, air travel too has picked up.

The result is that three of the players—Jet Airways, SpiceJet and GoAir—have bounced back into the black.

December has signalled the return of hope, a second wind under the airlines' books. SpiceJet posted a profit of Rs 108.9 crore in the December quarter against a loss of Rs 17.9



MARKET SHARES OF AIRLINES IN DECEMBER 2009
Figures in per cent

Taking Wing

Number of passengers travelling by air

33.23 lakh
Dec '08

31.6
Mar '09

43.8 mn people travelled by air during 2009, 2.5 mn more than in 2008

Source: Ministry of Civil Aviation